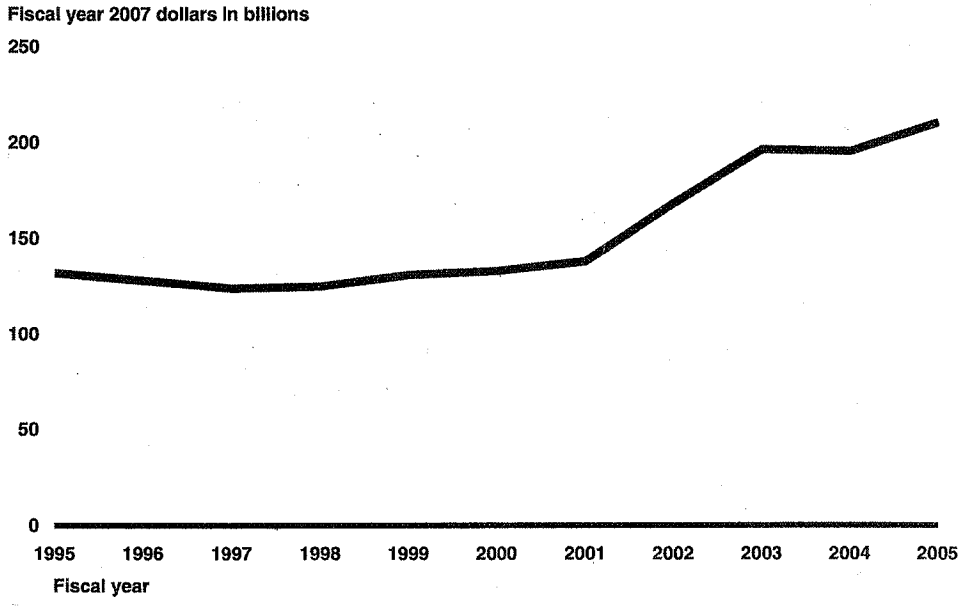
Most Growth in O&M Costs Occurred since Fiscal Year 2001

Although DOD's O&M costs increased significantly between fiscal years 1995 and 2005, there was a distinct difference in the rate of growth between the early and latter years of this 10-year period. Specifically, as shown in figure 1, DOD's annual O&M costs were practically constant until 2001, when the costs began to increase.

Figure 1: O&M Costs for Fiscal Years 1995 through 2005

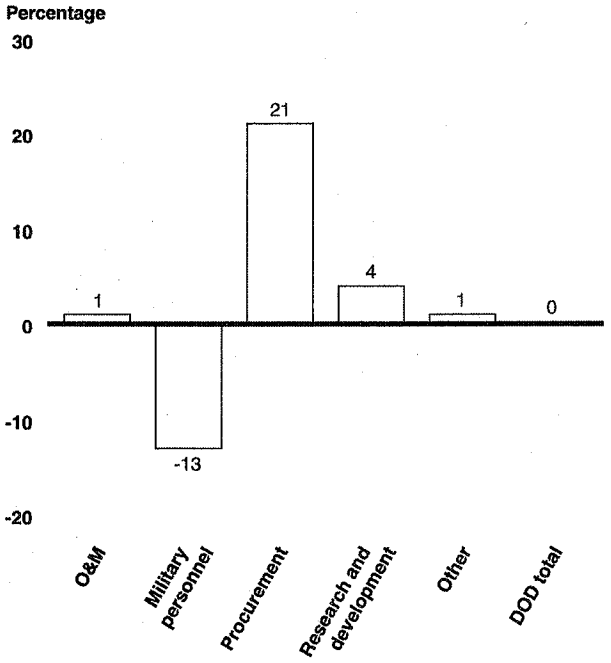


Source: GAO analysis of DOD data.

Note: The costs shown in the figure are actual total obligation authority, which includes regular O&M appropriations, any supplemental O&M appropriations, and any funding from other appropriation accounts transferred or reprogrammed into the O&M account during budget execution.

Figure 2 shows that during the first half of the 10-year period from fiscal year 1995 to fiscal year 2000, DOD's O&M costs increased about 1 percent. In comparison, costs in DOD's other major budget categories during this period changed as follows: military personnel costs declined about 13 percent; procurement costs increased about 21 percent; research and development costs increased about 4 percent; and other costs increased about 1 percent. DOD total costs were almost constant between fiscal year 1995 and fiscal year 2000.

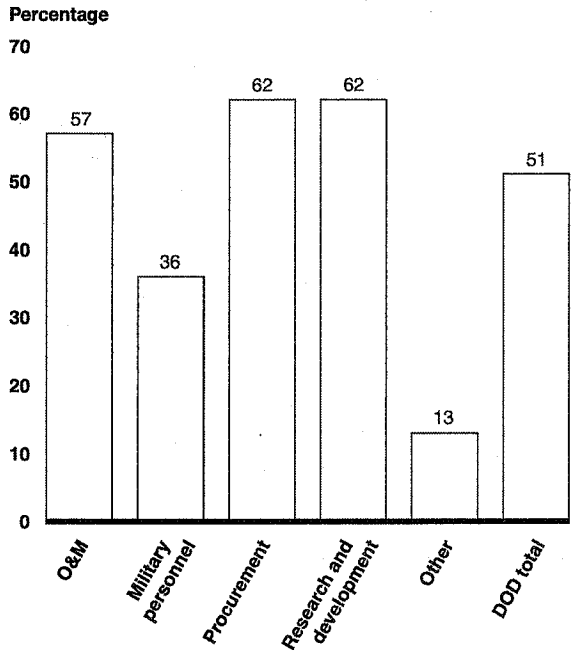
Figure 2: Percent Change in DOD Costs by Major Budget Category from Fiscal Year 1995 to 2000



Source: GAO analysis of DOD data.

Figure 3 shows that a significant change in cost growth occurred during the subsequent 5-year period from fiscal year 2000 to fiscal year 2005, when DOD's O&M costs increased about 57 percent. In the other major budget categories during this period, military personnel costs increased about 36 percent, procurement costs increased by about 62 percent, research and development increased by about 62 percent, and other costs increased about 13 percent. DOD total costs increased about 51 percent between fiscal year 2000 and fiscal year 2005.

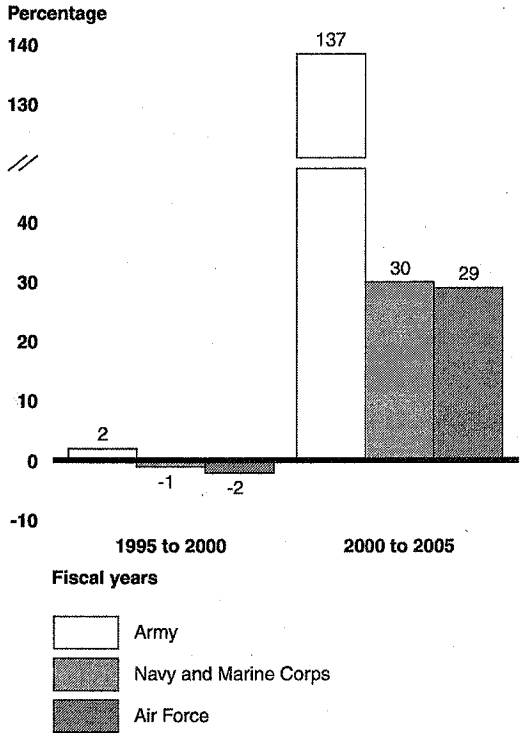
Figure 3: Percent Change in DOD Costs by Major Budget Category from Fiscal Year 2000 to 2005



Source: GAO analysis of DOD data.

Trends in O&M costs at the military service level generally reflect the overall DOD trend. As shown in figure 4, between fiscal years 1995 and 2000, little change occurred in each service's O&M costs. However, considerable cost growth occurred between fiscal years 2000 and 2005. Among the services, the Army had the largest percentage of growth in O&M costs between fiscal years 2000 and 2005. During this period, the Army's O&M costs increased by about 137 percent, while the Navy and Marine Corps' and the Air Force's O&M costs increased by about 30 percent and 29 percent, respectively.

Figure 4: Percent Change in the Services' O&M Costs



Source: GAO analysis of DOD data.

Increased Military Operations Were the Primary Reason for O&M Cost Growth

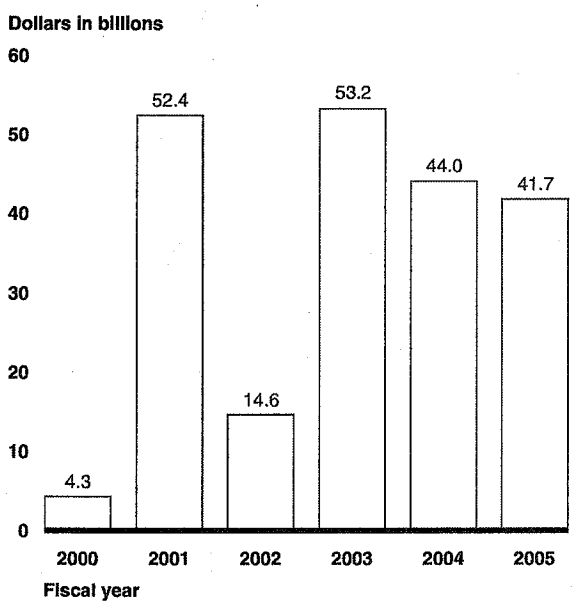
According to DOD and service officials, the primary cause for increased O&M costs since fiscal year 2001 is the increase in military operations associated with GWOT and other contingencies, including hurricane relief. However, the officials also stated that other factors have contributed to the growth in O&M costs, such as the aging of military infrastructure and equipment; increased costs for installation security, antiterrorism force protection, communications, information technology, transportation, and utilities; and certain changes in acquisition approaches.

The fight against terrorism has resulted in operations and deployments around the globe that are in addition to the usual peacetime operations. According to DOD, the related costs have included not only the personnel costs associated with mobilizing National Guard and reserve forces but also the costs of supporting these forces and the increased pace of operations. O&M-funded costs include a wide range of activities and services supporting operations including costs related to

(1) predeployment and forward-deployed training of units and personnel; (2) personnel support costs including travel, subsistence, reserve component personnel activation and deactivation costs, and unit-level morale, welfare, and recreation; (3) establishment, maintenance, and operation of housing and dining facilities and camps in the theaters of operation; (4) petroleum, oils and lubricants, spare parts, consumable end items, and other items necessary to support the deployment of air, ground, and naval units; (5) establishment, maintenance, and operation of facilities including funds for roads, water, supply, fire protection, hazardous waste disposal, force protection bunkers and barricades; (6) command, control, communications, computers and intelligence within the contingency areas of operations; (7) organization-level maintenance including repairs to equipment and vehicles; (8) intermediate- and depot-level maintenance of weapons and weapon system platforms requiring service after the wear and tear of combat operations; and (9) contracts for services for logistics and infrastructure support to deployed forces.

The additional military costs associated with GWOT and other contingencies have been primarily funded through supplemental appropriations. Figure 5 shows the annual amount of supplemental O&M funds appropriated each year from fiscal year 2000 through fiscal year 2005. During this period, supplemental O&M appropriations totaled about $210 billion and, according to the services, additional amounts were transferred or reprogrammed from other accounts to the O&M accounts of the military services.

Figure 5: Supplemental O&M Appropriations for Fiscal Years 2000 through 2005

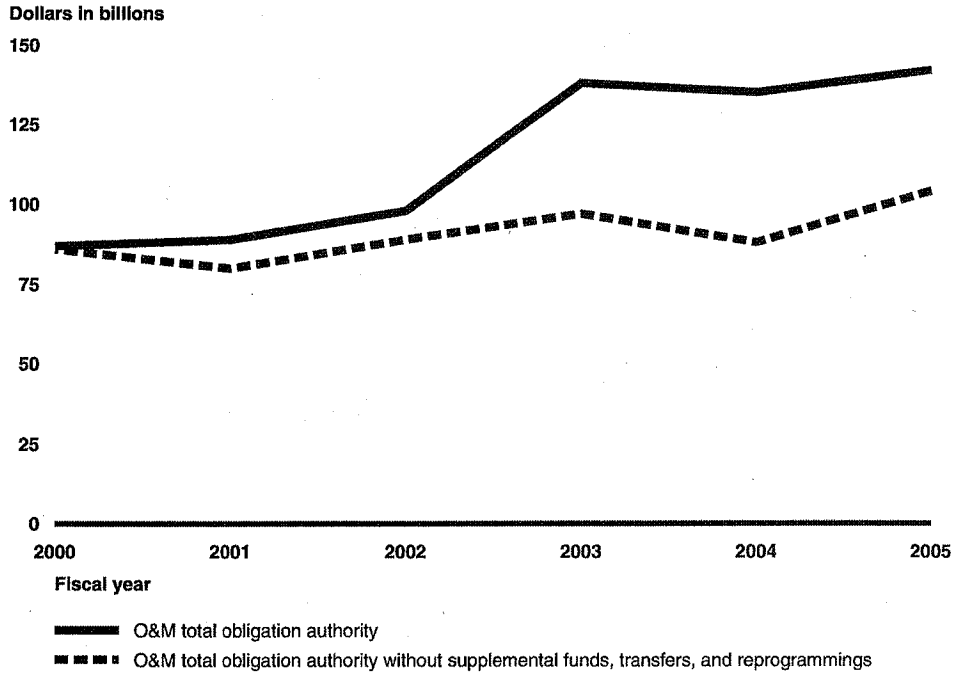


Source: GAO analysis of congressional data.

Note: GAO analyzed the annual supplemental O&M appropriations for DOD.

Although costs associated with the GWOT and other contingencies have been the primary reason for increased O&M costs between fiscal years 2000 and 2005, other factors also contributed to the O&M cost growth in the military services. To illustrate, if the services' annual O&M total obligation authority is adjusted by removing annual supplemental O&M appropriations and net transfers and reprogrammings into the O&M account, the result shows that O&M costs still grew during this time period, as illustrated in figure 6. Specifically, between fiscal years 2000 and 2005, O&M costs after the adjustment grew by about 44 percent in the Army, 17 percent in the Navy and Marine Corps, and 2 percent in the Air Force.

Figure 6: Services' O&M Costs with and without Supplemental Funding, Transfers, and Reprogrammings



Source: GAO analysis of congressional and DOD data.

Note: GAO analyzed annual supplemental O&M appropriations and DOD data on the military services excluding the services' reserve components.

According to service officials, baseline O&M costs have increased between fiscal years 2000 and 2005 because of many factors, such as aging of military infrastructure and equipment, and increased costs for installation security, antiterrorism force protection, communications, information technology, transportation, and utilities. Navy officials particularly cited the implementation of DOD's utility privatization program as a factor contributing to increased O&M costs. In a September 2006 report, we noted that DOD's utility costs could potentially increase by another $954 million to pay costs associated with remaining utility systems that might be privatized.[8] Increased O&M costs are also attributable to certain changes in DOD's acquisition approaches. For example, the Air Force historically bought space launch vehicles, such as the Delta and Titan

[8]GAO, *Defense Infrastructure: Actions Taken to Improve the Management of Utility Privatization, but Some Concerns Remain*, GAO-06-914 (Washington, D.C.: Sept. 5, 2006).

rockets, as products paid for with procurement appropriations. Now, under the Evolved Expendable Launch Vehicle program, the Air Force uses O&M appropriations to purchase launch services using contractor-owned launch vehicles. The projected cost of this program is $28 billion. Further, as we noted in our September 2006 report, the Army and the Air Force turned to service contracts for simulator training primarily because efforts to modernize existing simulator hardware and software had lost out in the competition for procurement funds.[9] As a result, the simulators were becoming increasingly obsolete. Buying training as a service meant that O&M funds could be used instead of procurement funds.

DOD's Reliance on Contractors for Support Services Has Increased since Fiscal Year 2000 for Several Reasons

To meet military requirements during a period of increased operations without an increase in active duty and civilian personnel, DOD has relied not only on reserve personnel activations but also on increased use of contractor support in areas such as management and administrative services, information technology services, medical services, and weapon systems and base operations support. Between fiscal years 2000 and 2005, DOD's service contract costs in O&M-related areas increased over $40 billion, or 73 percent. Table 1 highlights the growth in several service contract categories.

[9]GAO, *Contract Management: Service Contract Approach to Aircraft Simulator Training Has Room for Improvement*, GAO-06-830 (Washington, D.C.: Sept. 22, 2006).

Table 1: Changes in Service Contract Costs in Selected Categories

Fiscal year 2007 dollars in billions

Service category	Contract costs		Change from fiscal year 2000 to 2005	
	Fiscal year 2000	Fiscal year 2005	Amount	Percentage
Professional, administrative, and management support	$14.6	$30.1	$15.5	107
Maintenance and repair of equipment	7.7	12.3	4.6	60
Data processing and telecommunications	6.3	11.0	4.7	74
Medical	2.8	8.4	5.6	199
Maintenance and repair of real property	6.6	8.0	1.5	22
Utilities and housekeeping	3.9	7.0	3.1	79
Transportation and travel	3.4	6.6	3.3	97
Conservation and natural resources	1.7	2.3	0.7	39
Operation of government-owned facilities	2.3	2.1	(0.2)	-9
Technical representative services	1.4	1.7	0.3	23
Special studies and analyses	1.2	1.5	0.2	19
Modification of equipment	1.1	1.4	0.3	29
Educational and training services	1.1	1.4	0.3	23
Other[a]	1.3	2.0	0.7	58
Total	**$55.4**	**$95.9**	**$40.6**	**73**

Source: GAO analysis of DOD data.

Notes: GAO analyzed DOD's DD350 database of all contracting actions exceeding $25,000. Some numbers in the table may not calculate correctly due to rounding.

[a]"Other" includes contracts for quality control, testing, and inspection; equipment lease, rental, and installation; social services; photographic, mapping, and printing services; and salvage services.

DOD officials noted several factors that have contributed to DOD's increased use of contractor support. First, the GWOT and other contingencies have significantly increased O&M requirements and DOD has met these requirements without an increase in active duty and civilian personnel. To do this, DOD relied not only on reserve personnel activations, but also on increased use of contractor support.

Second, Office of Management and Budget Circular A-76 notes that the long-standing policy of the federal government has been to rely on the private sector for needed commercial services and that commercial activities should be subject to the forces of competition to ensure that the

American people receive maximum value for their tax dollars.[10] The circular notes that a public/private competition—which can involve a lengthy and costly process—is not required for contractor performance of a new requirement or private sector performance of a segregable expansion of an existing commercial activity. On the other hand, the circular states that before government personnel may perform a new requirement or an expansion of an existing commercial activity a public/private competition is required to determine whether government personnel should perform the work.

Third, DOD initiatives that have required that consideration be given to outsourcing certain work performed by uniformed and DOD civilian personnel have resulted in outsourcing decisions. For example, between fiscal years 1995 and 2005, DOD's competitive sourcing, or A-76 public/private competition, program resulted in 570 decisions to contract out work that had been performed by over 39,000 uniformed and DOD civilian personnel. Also, in 1997, DOD decided that privatization of military installation utility systems was the preferred method for improving utility systems and services because privatization would allow installations to benefit from private sector financing and efficiencies. As of March 2006, DOD had awarded contracts to privatize 117 systems and had an additional 904 systems in various phases of the privatization evaluation and solicitation process.

Fourth, service officials noted that in some instances certain personnel issues tend to favor the use of contractor support. For example, service officials stated that because of limitations on headquarters personnel authorizations, the use of contractor support is often the only readily available option to accomplish new or expanded commercial work requirements at service headquarters. Service officials also noted that it is generally easier to terminate or not renew a contract than to lay off government employees in the event of reduced work requirements. For this reason, use of contractor support is often favored when there is uncertainty over the length of time that support services will be needed, which is the case for some work supporting GWOT and other contingencies.

[10]Office of Management and Budget, Circular No. A-76 (Revised), *Subject: Performance of Commercial Activities* (Washington, D.C.: May 29, 2003).

Data Are Insufficient to Determine Whether Increased Services Contracting Has Exacerbated O&M Cost Growth

Sufficient data are not available to determine whether increased services contracting has caused DOD's costs to be higher than they would have been had the contracted activities been performed by uniformed or DOD civilian personnel. Although overall quantitative information was not available, our analysis of the military services' reported information from its competitive sourcing program, commonly referred to as the A-76 public/private competition process, and case studies of O&M-related work contracted out at three installations showed that outsourcing decisions generally resulted in reducing the government's costs for the work. However, compared to all O&M-related contracts, the number of A-76 public/private competition contracts is small, the results from this program may not be representative of the results from all services contracts for new or expanded O&M work, and certain limitations exist with the use of the A-76 data. Further, a recent DOD study found that the Army's use of contract security guards at domestic installations cost more than the use of guards employed by the Army.[11]

Information Needed to Assess the Effect of Increased Services Contracting Is Unavailable

To determine whether increased services contracting has exacerbated the growth of O&M costs, information is needed that allows for a comparison of the contract costs with the costs of performing the same work in-house with uniformed or DOD civilian personnel. However, in most cases DOD does not know how much contracted services work would cost if the work were performed by government employees. DOD officials noted that existing policy generally does not require a public/private competition for private sector performance of a new or expanded commercial requirement and, as a result, in-house cost estimates have not been prepared for most of the work awarded to contractors as a result of increased O&M requirements from GWOT and other contingencies. In the absence of such quantitative data, information is not available to determine whether the government's costs are higher than they would have been had the contracted services work been performed by uniformed or DOD civilian personnel.

[11]Deputy Under Secretary of Defense (Installations and Environment), *Report to Congress: Contractor Performance of Security Guard Functions* (Washington, D.C.: January 2007).

A-76 Public/Private Competition Data Indicate Outsourcing Decisions Were Cost-effective but Data Limitations Exist

While overall information was not available to determine whether increased services contracting has exacerbated O&M cost growth, DOD does maintain data on its competitive sourcing program, otherwise known as the A-76 public/private competition process, which allows a comparison of in-house and contract costs for some O&M related work. Specifically, DOD's A-76 program data include in-house and contract cost information on contracts for work formerly performed by uniformed or DOD civilian personnel that were awarded to the private sector as a result of a public/private cost competition or, under certain conditions prior to May 2003, direct conversion to contractor performance. As shown in table 2, of the 1,112 total A-76 public/private competition decisions that were made between fiscal years 1995 and 2005, the military services decided to outsource the work in 570, or 51 percent, of the cases. These decisions resulted in contracting out the work formerly performed by over 39,000 uniformed and DOD civilian personnel. In the remaining cases, based on the public/private cost comparison the military services decided to continue performing the work in-house.

Table 2: A-76 Public/Private Competition Decisions for Fiscal Years 1995 through 2005

	A-76 decisions			Positions covered by A-76 decisions		
Military service	Total	To outsource	Percent outsourced	Total	To outsource	Percent outsourced
Army	222	98	44	31,481	13,395	43
Navy	405	99	24	28,746	6,440	22
Marine Corps	35	15	43	4,072	1,214	30
Air Force	450	358	80	27,892	18,116	65
Total	**1,112**	**570**	**51**	**92,191**	**39,165**	**42**

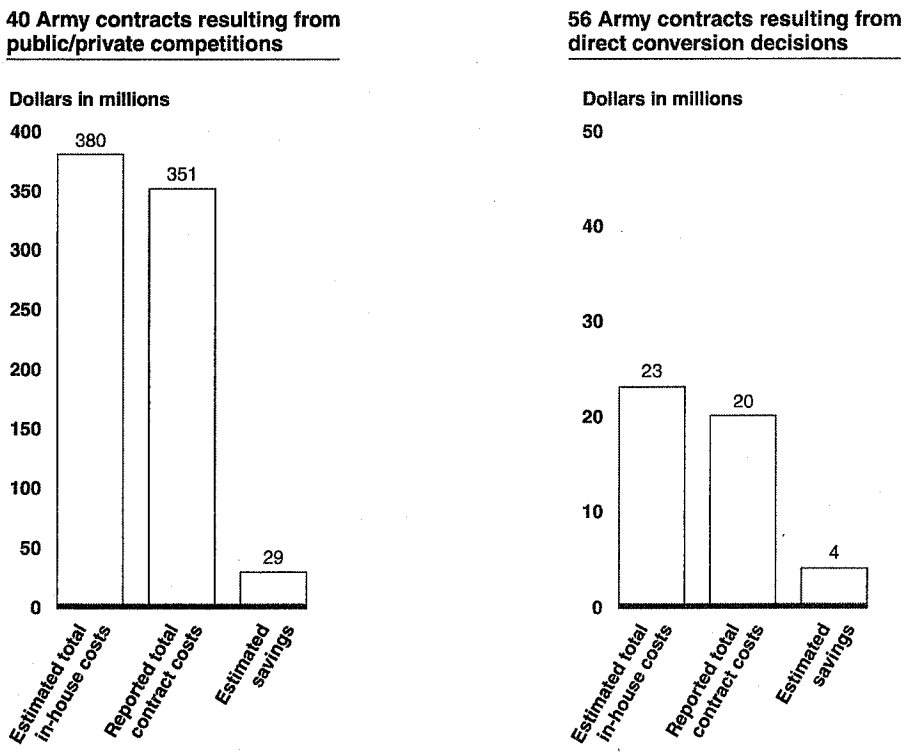
Source: GAO analysis of DOD data.

At the time of our review, the Army, Navy, Marine Corps, and Air Force had reported detailed contract cost data on 538 of the 570 A-76 decisions to outsource work. Our analysis of these data showed that the public/private competition decisions generally resulted in reducing the government's costs for the work.[12] Specifically, according to data reported

[12]Our analysis relied on the data reported by the services. We did not review the actual contracts.

during the first contract performance period, the Army estimated savings of about $33 million from 96 contracts, the Navy and Marine Corps estimated savings of about $74 million from 88 contracts, and the Air Force estimated savings of about $115 million from 354 contracts.[13] Figures 7, 8, and 9 show each service's reported A-76 outsourcing information for contracts resulting from both public/private competitions and direct conversion from government to contractor performance between fiscal years 1995 and 2005.

Figure 7: First Performance Period Results from Army A-76 Public/Private Competition Decisions to Outsource Work between Fiscal Years 1995 and 2005

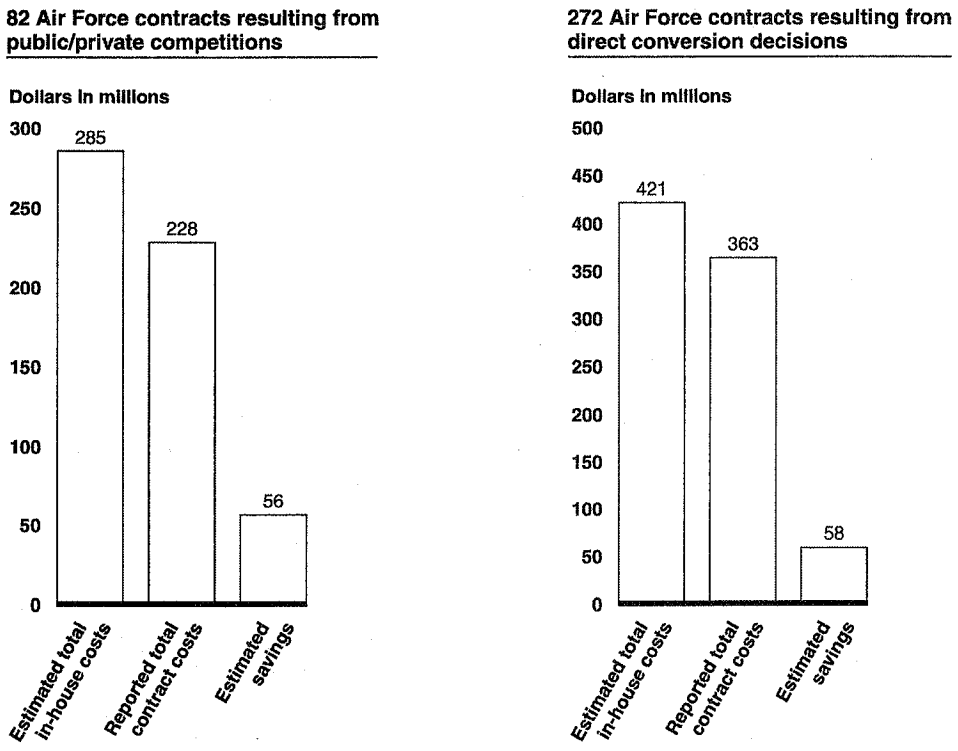


Source: GAO analysis of DOD data.

Note: Numbers in the figure may not total correctly due to rounding.

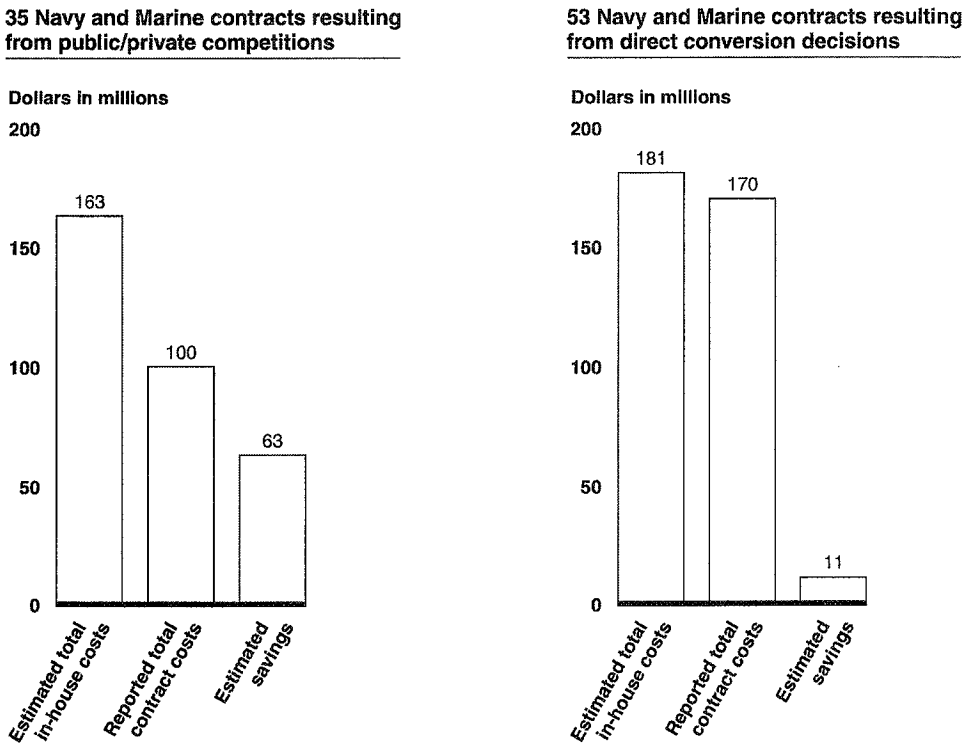
[13]All amounts in this report related to A-76 contracts are in current year dollars—not fiscal year 2007 dollars.

Figure 8: First Performance Period Results from Navy and Marine Corps A-76 Public/Private Competition Decisions to Outsource Work between Fiscal Years 1995 and 2005



Source: GAO analysis of DOD data.

Figure 9: First Performance Period Results from Air Force A-76 Public/Private Competition Decisions to Outsource Work between Fiscal Years 1995 and 2005



Source: GAO analysis of DOD data.

Note: Numbers in the figure may not total correctly due to rounding.

Although the services' A-76 data show that decisions to outsource work were cost-effective, several limitations are associated with the use of this information. First, DOD officials noted that when work performed by uniformed personnel is outsourced, the personnel generally are assigned to other duties. Thus, while the cost to perform the outsourced work may be less than when it was performed in-house, the overall cost to the government may actually increase because the uniformed personnel continue to be paid to perform different work and a contractor is now paid to do the work formerly performed by the uniformed personnel. Also, outsourcing of work formerly performed by uniformed personnel may also increase O&M costs because military personnel appropriations are used to compensate uniformed personnel and O&M appropriations are used to pay contractors for services work.